

A risk-averse investor is one for whom the perceived benefit of any gain is less than the perceived cost of an equivalent loss.¹ Imagine how you would respond to the proposition of a coin flip that would either double your net worth or extinguish it. Most would respectfully decline to play. Such risk aversion is deeply ingrained in human nature. Yet many unwittingly set aside their risk aversion when the sirens of stock market speculation call.

The best way to guard against loss is to conduct deep and rigorous fundamental research. When a small slice of a business is offered through the stock market at a bargain price, it is helpful to evaluate it as if the whole business were being offered for sale there. This analytical anchor helps value investors remain focused on the pursuit of long-term results, rather than the profitability of their daily trading ledger.

DEFINING AND MANAGING RISK

Many academics and professional investors define risk in terms of the Greek letter beta, which they use as a measure of past share price volatility: meaning that a stock with a relative volatility that has been greater than the overall market's is seen as riskier than one whose volatility has been lower. From this perspective, the greater the risk, the greater the return. But value investors, who are inclined to think about risk differently—as the probability and amount of potential loss—find such reasoning absurd. A volatile stock can become particularly undervalued, in fact, and at a reduced price it may become a very low-risk investment.

¹ Losing money, as Graham noted, can be psychologically unsettling. Anxiety from the financial damage caused by recently experienced loss or the fear of further loss can significantly impede one's ability to take advantage of the next opportunity that comes along. If an undervalued stock falls by half while the fundamentals—after checking and rechecking—are confirmed to be unchanged, one should relish the opportunity to buy significantly more "on sale." But if one's net worth has tumbled along with the share price, it may be psychologically difficult to add to the position.